Marketing

Exam code: 9BS0

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Glocalisation

- **Global marketing strategy** is the process of planning, producing, placing and promoting a business's product or service in the global market
- **Glocalisation** is a strategy where businesses aim to reach customers globally and also take into consideration the needs of the local market
  - The saying "think global, act local" is used to describe the strategy of glocalisation

Different marketing approaches

- There are several **marketing approaches** that a business can take when it comes to expanding its operations to other countries or regions
- The three main approaches are:
  - Domestic/ethnocentric
  - Mixed/geocentric
  - International/polycentric

The domestic/ethnocentric approach

- Businesses see the domestic market and foreign markets as very similar
- This approach is **based on the belief** that the company's home country culture and marketing practices **are superior** to those of other countries
- There will be no changes to the products for overseas customers, and marketing of the product will be the same
  - E.g. Apple sells standardised products across global markets, e.g. iPhones and iPads, which helps the company reduce costs, as it can benefit from economies of scale

Advantages and disadvantages of the ethnocentric approach

Advantages	Disadvantages

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

standardised and produced on a large scale • Costs are also lower, as there is no investment into **product development** to adapt products for different markets	tailored to the needs and wants of markets overseas • This approach can lead to cultural insensitivity and may not resonate with local customers in other countries

Polycentric/international approach

- Businesses adapt their marketing strategy by **tailoring their products** to the local market
- A business treats **each country as a unique market** and develops a customised **marketing mix** for each market
  - E.g. KitKat (Nestle) has developed different adaptations of the chocolate to reach different consumers in the international market
    - The packaging of KitKats in Japan was changed to include cherry blossoms, a symbol of good luck
    - Additional flavours, such as purple sweet potato and matcha powder, were included to appeal to the tastes of the local market

Advantages and disadvantages of the polycentric approach

Help me understand

Advantages	Disadvantages
• Sales are likely to increase, as the product is tailored to meet the needs of customers • This helps to develop brand loyalty in overseas markets	• Product development to adapt the product may increase average unit costs • There will also be additional costs in market research to find out about other markets

The geocentric/mixed approach

- This strategy is a mix of the polycentric and ethnocentric approaches
- This approach utilises the benefits of **standardised products** but also tailors products to meet the needs of **local markets overseas** while maintaining a **consistent brand image** across markets
  - E.g. McDonald's has a geocentric approach by adapting its menu to meet the tastes and cultures of different overseas markets
  - McDonald's does not offer beef or pork in India due to religious reasons. However, in the majority of Western countries, McDonald's has standardised products such as the Big Mac

Advantages	Disadvantages
• Sales are likely to increase, as the product is tailored to meet the needs of customers • This helps to develop brand loyalty in overseas markets	• There will be costs associated with product development and **changes** required to meet the needs of the local markets

Examiner Tips and Tricks

The question can ask you to recommend which type of approach a business should take when expanding abroad. You should take into account the best approach for the type of business that is being considered in the extracts.

Adapting and applying the marketing mix to global markets

- **The marketing mix** is the set of controllable marketing tools that a company uses to promote its brand or product in a market
  - It consists of the four Ps — **product**, **price**, **place** and **promotion**
- Businesses have to adapt their marketing mix to overseas markets to ensure the success of their product/service
- By adapting the marketing mix to **meet local needs**, companies can effectively **penetrate global markets** and build a strong global brand

Adapting the marketing mix to global markets

Place	Product
• Businesses have to identify the best channel of distribution to get the product/service to the customer in a particular market • They also need to consider the available technology, as many	• Businesses need to consider how much they should modify or adapt their products to meet the demands of markets overseas • They need to consider whether they will take an ethnocentric,

Price	Promotion

• When making pricing decisions, businesses must consider **customer incomes**, costs of production and taxes
• They must also consider the stage of the **product life cycle** the product is at within that market
• The state of the economy **(recession or boom)** will also impact the pricing strategy
  ○ E.g. in 2022, a Coke in Finland was $2.42, whereas in Egypt, it was $0.18
	• Promotion needs to be adapted to meet the language and cultural differences
	• Businesses must aim to choose the **most effective method of promotion** to promote products in that market
	  ○ E.g. social media may be an effective marketing tool in some markets but less effective in others

Adapting and applying Ansoff's matrix to global markets

- **Ansoff's matrix** is a strategic planning tool that helps businesses **identify potential growth opportunities** by analysing their product and market strategies
  - The matrix consists of four growth strategies — market penetration, market development, product development and diversification
- Expanding outside domestic markets **generates risks for a business**, so it needs to ensure that it adopts the right strategy
  - By doing so, businesses can effectively **penetrate global markets** and achieve long-term success

Ansoff's matrix

	EXISTING PRODUCTS	NEW PRODUCTS
EXISTING GLOBAL MARKETS	Market penetration	Product development
NEW GLOBAL MARKETS	Market development	Diversification

Market penetration

in a market and launches another product, customers are already familiar with the business

Market development

- This strategy focuses on **selling existing products in new markets**
  - Businesses may have to adapt their product to meet the needs and **different preferences** of customers in global markets
  - This strategy carries **more risk**, as customers may not understand a business's product
    - **E.g. Tesco opened stores in China and later had to withdraw from the market, as the company lacked understanding of Chinese consumer habits**

Diversification

- This strategy involves businesses developing **new products for new markets**
- This is a high-risk strategy, as the business may have **limited knowledge** about the new market
- This strategy requires a deep understanding of **local market conditions** and consumer behaviour to ensure that the new product and market are a good fit for the business

Product development

- A growth strategy where a business aims to **introduce new products to existing markets**
- This requires market research to identify the target market's needs and preferences, developing products that meet those needs and **adapting the business's marketing mix** to ensure that the products resonate with local consumers

Examiner Tips and Tricks

In Paper 1, you are often required to make links between Theme 1 and Theme 4. When you have questions on marketing, refer to the marketing strategies and concepts from other sections of the course to explain the different approaches a business may undertake when expanding into an international market.

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